

Changes to the X-TRM Service Instructions: Functionality of interaction with the central counterparty

The amendments described in the present Notice will enter into force on the **30 June 2025**.

The Instructions of the X-TRM Service have been updated, in consideration of the migration of Borsa Italiana's equity and derivatives markets to the *pre-settlement* and *clearing* model applied by Euronext Clearing to legacy Euronext markets.

The changes relate to the functions of interaction with central counterparties that are being discontinued and some formal fine-tuning to the X-TRM service regulations.

The following is an excerpt of the text with the amendments shown

The full text of the Instructions will be published on the website <https://www.euronext.com/it/post-trade/euronext-securities>

3 IMPLEMENTING PROVISIONS OF THE SERVICE X-TRM

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3.7 AUXILIARY FUNCTIONALITY TO THE CCP ACTIVITY

3.7.1 Interaction with the central counterparty for cash markets

Upon request of markets, ~~For the contracts received from markets guaranteed by the CCP, the X-TRM Service~~ **the pre-settlement system** carries out the interposition of the CCP itself between the two original counterparties, ~~thereby guaranteeing the "anonymity" of the trade.~~

Due to the fact that trades originating from the cash market can be guaranteed by one or more CCPs¹, the following operations can be generated as a result of the interpositioning and the doubling process:

- in the case of one single CCP, four operations: two corresponding to the original counterparties of the CCP and two of the CCP vis-à-vis the two original counterparties each operation is allocated a reference code

¹ The MTS and BTM markets give their own traders the option, if they intend to guarantee their own trade, of choosing whether to use one central counterparty from those provided by the market (in this specific case, Cassa Compensazione & Garanzia e LCH-Clearnet SA).

- in the case of two central counterparties, six operations: two corresponding to the original counterparty of the first central counterparty, two of the first central counterparty vis-à-vis the other central counterparty and two of the second central counterparty vis-à-vis the original counterparty. each operation is allocated a reference code

The following diagram illustrates the process:

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~~3.7.2 Acquisition of trades from the Cassa di Compensazione e Garanzia (IDEM Market)~~

~~Trades originating from the IDEM market, relating to exercises/allocation of stock options or the consignment of assets underlying futures (stock futures), are sent from the Cassa di Compensazione e Garanzia to the X-TRM service on the morning of the day following the exercise/allocation of the option and the maturity of the futures. These trades are sent to X-TRM as transfer operations (securities and cash) concluded directly with the Cassa (and not therefore subject to interposition, as the Cassa already appears as the counterparty) with an *ad hoc* "origin" and "market segment" and a Central Counterparty settlement account that is segregated from other guaranteed operations in order to create a separate bilateral net balance. Trades made by non-clearing members on the IDEM market can indicate a clearing member that is different from that used in cash markets².~~

~~3.7.3 Acquisition of trades from the Cassa di Compensazione e Garanzia (Buy-In Execution)~~

~~Trades concerning the execution of a buy-in that require the settlement in the Settlement Service are sent from the Cassa di Compensazione e Garanzia to the X-TRM service on the morning of the day following execution. These trades are sent to X-TRM as transfer operations (securities and cash) concluded directly with the Cassa (and therefore not subject to interposition, as the Cassa already appears as the counterparty) with an *ad hoc* "origin" and "market segment" and a Central Counterparty settlement account that is segregated from other operations in order to create a bilateral net balance that is different to that created for operations performed on the markets.~~

3.7.4 Creation and updating of Net Bilateral Balances (Payments) With the Central Counterparty

~~Given that the settlement services accept transactions in the form of individual trades or bilateral securities/cash balances, a function is provided that, on the request of the central counterparty itself, **on the request of central counterparties, the pre-settlement system** performs the automatic aggregation of trades subject to interposition and with even settlement date, **in accordance with the criteria defined by the central counterparties and creates instructions to be forwarded to the settlement system** with the~~

² In payments sent from the IDEM market, the relevant general clearing member is indicated as the counterparty vis-à-vis the Cassa.

~~consequent entry into X-TRM of the bilateral balance vis-à-vis the CCP (the type of operation created is "transfer").~~

~~At the receipt of the first trade guaranteed by the CCP, the pre-settlement system~~ the Service defines and inserts, into the same X-TRM, the automatic transfer arising from the bilateral clearing. Such transfer is updated ~~on-line~~ at the receipt of every contract subsequent the first one. After clearing, it is possible that indications of quantity/nominal value and countervalue will be the same. If following the clearing the resulting balance of securities and cash is 0, the **pre-settlement system** X-TRM does not send any settlement instructions to the Settlement Service.

The automatic creation of transfers follows a different operating logic according to the mode of traders' membership of settlement (clearing or non-clearing) and of the central counterparty (clearing or non-clearing).

Following the instructions of those central counterparties with respect to the method by which margination is performed for traders, the service plans for the creation of the net bilateral balances using a different operating model for each specific reference market (the same central counterparty can decide to implement one operating model on one market and another operating model on another market).

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~~3.7.5 Updating of bilateral balances (Transfers) on the day before the date of settlement~~

The acquisition of central counterparty-guaranteed trades, routed from the markets of the X-TRM service on the day before the date of settlement and with a settlement date on the following day (T+1) is managed in exactly the same manner as in the case of acquisition on the trade date.

The X-TRM service proceeds to update the balances online (if present in X-TRM) or on their entry (if not present in X-TRM) and forward them to the Settlement Service with an update/insertion of the relevant settlement instructions.

The cancellation of trades, which can be carried out according to their specific operating rules and which are forwarded on the day before settlement, involves, in the X-TRM service:

- the cancellation of the original four/six operations, the updating in real time of the transfer and the previously created settlement instruction;
- reporting to the central counterparties in real time, by the technical methods agreed in the case of entry, of an operation equal or contrary to the original transaction.

~~3.7.6 Report to the general clearing member~~

A function is provided that permits the general clearing member to request, at any time during the day, a flow containing only the details of operations guaranteed

by the central counterparty performed by its clients, non-clearing members of the CCP, for which it is obliged to pay the margins. The general clearing member may also receive reports of net positions of all its non-clearing members, determined at the end of the day, as described in the following paragraph.

If the general clearing member is also the settlement agent for its non-clearing member, it will receive all the information provided and addressed to settlement agents.

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4 DEFAULT MANAGEMENT PROCEDURE

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4.1 RECEIPT OF THE DECLARATION OF DEFAULT

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Immediately upon receiving notification, Monte Titoli:

- a) in the case of the insolvency of a Participant, activates the Settlement System technical procedures to block: i) the acquisition of new settlement instructions in the Settlement System that are attributable to the insolvent Participant; and ii) amendments to settlement instructions already in the Settlement System that are attributable to the same entity;

To this end, Monte Titoli: (i) blocks the acquisition of settlement instructions in the Settlement System that are attributable to the insolvent Participant ~~through the X-TRM Service~~; (ii) for direct connections, prevents the insolvent Participant from sending new settlement instructions to the Settlement System, or from amending Instructions already in the System;

- b) in the case of insolvency of an Indirect Participant, blocks the acquisition of settlement instructions in the Settlement System that are attributable to the insolvent Indirect Participant ~~that are already in the X-TRM Service~~; allows the Participant that settles transactions on behalf of the Indirect Participant to issue, on its own responsibility and within 2 business days (not including the day of notification), new settlement instructions on the accounts pursuant to article 57, paragraph 5, letter b) of the Regulation, for the sole purpose of exercising retention rights and guarantee rights, within the limits permitted by law;

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